

For all the money that goes through their hands, after years of hard work, many of them have little to show for it.

But wait. If you could get a steady rate of return of 3 percent on your money, it would require \$11.5 million in capital to replace those earnings. And if you had \$11.5 million in real capital, most people would agree, you would be among “the rich.” But it’s very hard to live off \$350,000 as though you were rich and also accumulate enough money to really BE rich. Not unless you’re earning a lot more.

And you can live a lot better with \$11.5 million in capital than you can on \$350,000 in salary income, for reasons we will explain.

If you had only \$7.5 million, for example, at 3 percent yield, you could expect income of only \$215,000. That may seem like a lot of money, but it is hardly the kind of money that would give you and your family a lavish lifestyle. After taxes, health insurance, tuition, autos, mortgage payments and other real necessities, there wouldn’t be that much left. Wealthy? Yes. Rich? Not quite.

Having investable assets in the \$250,000 to \$5 million range simply makes you one of the “mass affluent,” as the financial services industry now calls them. To be truly rich, you need quite a bit more than that. Silicon Valley has a useful, if gratuitously rude, phrase for the sort of money that will free you from ever having to take a job again: “F-U money.”

F-U MONEY

The idea of F-U money came to us long before the money itself arrived. A friend of the family comes from a very rich family. But he had a falling out with his father. He was given \$1 million, a paltry sum out of a \$200 million fortune, and told “good luck.”

But you need more than good luck to build real wealth. In fact, good luck is more often a curse than a blessing. It brings you wealth too easily and too early. In the late 1970s, \$1 million was a much bigger fortune than it is today.

Our friend, who was still in his early 20s, was considered immensely rich by the rest of us.